

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 25-31

NIELSEN & BAINBRIDGE, LLC

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**RESPONDENTS' REPLY TO COMPLAINANT'S RESPONSE TO RESPONDENTS'
MOTION FOR DISMISSAL OF REPARATIONS SEEKING DOUBLE RECOVERY**

Pursuant to the Rules of the Federal Maritime Commission 46 C.F.R. 502.70, Orient Overseas Container Lines, Ltd. and OOCL (Europe), Ltd. ("OOCL" or "Respondents") replies to Complainant Nielsen & Bainbridge, LLC ("Complainant" or "NBG") Response ("Response") In Opposition to OOCL's Motion for Dismissal of Reparations Seeking Double Recovery ("Motion"). Because the risk of double recovery is high and a determination at this stage of the proceeding is efficient, the Presiding Officer should review the facts presented by NBG to represent its actual injuries in each of the proceedings currently pending before the FMC and dismiss those overlapping claims that are before her that may result in multiple recoveries for the same alleged injury. For the reasons set forth below, this risk cannot wait to be addressed by the Commission later and for good order should be addressed by the Presiding Officer now.

ARGUMENT

1. OOCL's Motion is Proper, Timely, and Consistent with the FMC's Rules

The Motion is not limited to testing the sufficiency of the Complaint's allegations — it is a motion to prevent an ongoing and demonstrable procedural abuse that NBG's own discovery

responses and corporate representative's deposition testimony have already confirmed. NBG served supplemental appendices on March 30, 2026, and OOCL deposed NBG's corporate witness on August 5, 2026; the factual basis for the Motion therefore arises from materials produced in discovery, not from the face of the pleadings. The FMC's rules authorize motions for summary decision and motions to dismiss 'all or part of a proceeding' under 46 C.F.R. § 502.69(g), and the Commission incorporates the Federal Rules of Civil Procedure only for situations 'not covered by a specific Commission rule.' Because the Commission's own rules contemplate dispositive motions that go beyond the pleadings, OOCL's reliance on evidence outside the complaint is procedurally proper. Moreover, NBG's argument that a complaint must affirmatively allege the cross-listing for the instant Motion to be granted pleads too much: a complainant cannot insulate its flawed damages methodology when discovery has already revealed the issue.

NBG's argument conflates its own right to defer final actual injury contentions with immunity from a motion targeting a reparations methodology that it has already disclosed and relied upon. Response at 3. NBG served the relevant appendices on March 30, 2026 — nearly five months before the Motion was filed — and NBG's corporate representative was deposed on August 5, 2026. The evidence giving rise to the cross-listing issue (that is, duplicative listings of the same containers that serve as the basis for NBG's reparations' claims against multiple carriers) is not contingent on future expert reports or pending interrogatories; it is based on appendices NBG has already produced, stands behind, and argues for.

NBG's argument (Response at 4) that the Motion is untimely because discovery has not yet closed is no more than a delaying tactic: NBG cannot simultaneously rely on the appendices as the basis for its reparations claims while arguing that the appendices are too preliminary to be

challenged. A party seeking deferral must show by affidavit or declaration what specific facts it expects to discover and why those facts are essential — NBG has made no such showing.

F.R.C.P. 56(d).

OOCL's Motion reflects a good-faith effort to give NBG an opportunity to cure the cross-listing problem before dismissal; it is not a concession that the Motion lacks merit or is premature. The request that the Presiding Officer review appendices *in camera* to make a determination about them is consistent with the Presiding Officer's broad case-management authority under 46 C.F.R. § 502.25(b)(3)-(4), which expressly authorizes her to regulate the course of proceedings and take appropriate action to avoid unnecessary delay. As the same Presiding Officer presides over multiple NBG proceedings, and as she has done in *Bed Bath & Beyond, Inc. v. Yang Ming Marine Transp. Corp.*, Docket No. 23-10, Order (July 16, 2026) (Doc. 74) at 4 (directing the parties to address whether shipments included in the Docket No. 23-02 McCown Appendices, for which reparations have already been granted, should preclude those same shipments from being used to support reparations in Docket No. 23-10), she is uniquely positioned to compare the appendices without prejudice to either party. Requesting *in camera* review upon which dismissal should be made is an appropriate remedy, not an admission of evidentiary insufficiency.

NBG puzzlingly asserts OOCL could (and should have) compare the two appendices NBG has produced to OOCL and those NBG has produced in other proceedings because it quotes two appendices by name. Response at 9. To be clear, OOCL does not request the Presiding Officer to compare the appendices that have been produced to OOCL with one another; OOCL has no way to compare what NBG produced to it with what NBG may have produced to others.

Further, NBG's counsel also serves as BBY's counsel, and upon information and belief prepared the appendices in both cases and in the cases prosecuted by NBG against other respondents before the FMC. BBY's recent submission in *Bed, Bath & Beyond v. Yang Ming Marine Transport Corp.*, FMC Docket No. 23-10 (Complainant's Response to the Order on Motion to Reopen Record and to Submit Supplemental Information) (Doc. 75)(August 14, 2026) indicates the corresponding appendices it presented the proceedings against OOCL and Yang Ming contained duplicative shipments. There, like here, neither respondent could have been aware of precisely how (or whether) that was the case prior to that revelation.

The Motion's specificity is limited by the fact that the appendices span multiple dockets maintained by the Commission, and OOCL does not have independent access to the appendices filed in Docket Nos. 25-02 and 25-30 in the same manner the Presiding Officer does. OOCL's request for *in camera* review by the Presiding Officer is a recognition that the most efficient and authoritative method of resolving the overlap question is for the Presiding Officer — who has access to the appendices in all three pending NBG dockets — to make the comparison directly. The fact that OOCL can quote two appendices by name in its Motion demonstrates that OOCL has reviewed the materials available to it; it cannot do so for materials to which it has no access. The request for tribunal review is to have the comparison made by a neutral decision-maker rather than by a party, although it does not preclude an order requiring NBG to provide such a comparison and, while discovery is still open, serving it on OOCL (and the other respondents).

2. Bifurcating Discovery on Liability and Actual Injury Is Rarely Done, is Inefficient in the Instant Case, and No Request to Bifurcate Has Been Made

NBG is correct that *TCW*, *Hangzhou Qianwang*, and *Anchor Shipping* all involved situations where a payment had actually been made prior to the filing of the complaint — either by a third party, through a foreign court settlement, or through a paid arbitration award. See

TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., Informal Docket No. 1966(I), Initial Decision (SCO Feb. 19, 2021), *aff'd*, 2022 WL 18068977 (FMC Dec. 29, 2022), vacated and remanded sub nom. *Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024), decision on remand, 2025 WL 516256 (FMC Feb. 13, 2025); *Hangzhou Qianwang Dress Co. v. RDD Freight Int'l Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept. 1, 2020); *Anchor Shipping Co. v. Aliança Navegação e Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808 (FMC May 10, 2006). As such, in each of those cases, the Commission could perform a straightforward arithmetic subtraction of the amount already received. Nevertheless, the Commission expressed concern with the possibility of double recovery.¹

In *TCW*, the Small Claims Officers (and the Commission) had concerns about double recovery and ordered the Claimant to return the payment it had already received. But in small claims proceedings such as *TCW*, the Commission's rules do not allow motions to dismiss to be entertained by the Small Claims Officer. *See*, 46 C.F.R. 502.305(a). Likewise, in *Hangzhou Qianwang*, a settlement had already been paid out. In the end, the complaint was dismissed after an Initial Decision on remand found no violation of the Shipping Act; no reparations were awarded. *Hangzhou Qianwang*, 2020 WL 5406762, at *7 ("Because the Complainant has not established a [Shipping Act] violation, the Commission need not address whether Complainant's claims are barred by the settlement agreement.").

¹ An examination of Appendix A, which purports to include *all* shipments made by NBG (Response at FN1), lacks any indication of which containers NBG alleges OOCL caused its alleged injuries; includes numerous line items for which information is incomplete (notably not showing ocean freight); and more than one thousand for which the carriage type (NVO v. VOCC) is not indicated. How NBG picked and chose the containers it may have selected (and the costs associated with those containers) to populate Appendix B is a mystery to OOCL, and, to NBG's corporate witness.

Finally, *Anchor Shipping* does not stand for the proposition that dismissal is unwarranted for failure to present facts distinguishing the reparations sought from the Commission in different proceedings; indeed, the Presiding Officer required such presentation in a prehearing statement (former Rule 95, now Rule 210). Although a motion to dismiss the complaint in *Anchor Shipping* was denied with respect to Shipping Act violations, after the remand to the ALJ, when the complainant refused to file a reparations statement that included an indication of how its pecuniary loss alleged in its complaint was distinguished from the damages awarded by the arbitrator, the ALJ dismissed the complaint. *Anchor Shipping*, Docket No. 02-04, 2008 FMC LEXIS 21 (ALJ Dec. 16, 2008) (*Order Dismissing Complaint for Failure to Comply with the Commission's Rules of Practice and Procedure and Orders Entered in This Proceeding*) (slip op. at 18) (admin. final Jan. 22, 2009) (slip op. available at <https://www2.fmc.gov/readingroom/docs/02-04/AF2E64F0388E4F0CBF45A011B419A981.pdf>)(not reported in S.R.R. or FMC Official Reporter).

Here, by contrast, the potential duplication does not arise from a *prior payment* but from NBG's simultaneous prosecution of multiple proceedings using the same purported replacement shipments as the pricing basis for each.² A post-award adjustment mechanism presupposes that awards in the other proceedings will eventually be issued and paid, and that the amounts will be ascertainable. If all three proceedings result in full awards and all three are paid, the post-award adjustment would require NBG to disgorge amounts already received — a remedy that is administratively complex, potentially unenforceable, and places the burden of policing over-

² Discovery thus far has revealed no proximate cause between these purported replacement containers and any containers that OOCL allegedly refused to carry or concerning which it denied bookings.

recovery on the Commission and respondents rather than on NBG, which is the party in control of its suspect damages methodology. Dismissal or limitation of overlapping claims at the liability stage is a more efficient and certain remedy and avoids the issue raised by NBG in its Response at 10-12.

Further, it is NBG's burden to prove that each carrier proximately caused it to incur the additional freight that NBG alleges it incurred because of such carrier's conduct. With respect to each of these containers, how can it be used as the basis for such claims against multiple carriers without proof of any connection between that each carrier's refusal to carry or booking denial and NBG's decision to ship it via an NVO? And if such proximate cause existed, it would only relate to one ocean carrier, not multiple carriers. Consequently, cross-listings cannot support NBG's reparations claims or a measurement of its alleged damages.

In truth, that is because there is no proximate causation. Instead, NBG relies only on the actual MQC carried to manufacture a shortfall from the original MQC that it attributes to OOCL (ignoring entirely NBG's booking cancellations and no-shows) and then cobbled together containers shipped by NVOs that correlated to the same shipping lanes in the service contracts to create the appendices. No NBG fact witness has testified as to how these appendices were created (because, it appears, none of them did so); it is clear that they were created by NBG's counsel. The creation of these appendices is a matter that the Presiding Officer should explore at trial.

No request has been made to bifurcate the liability and reparations portion of this proceeding and there is no reason for the Presiding Officer to "hold the reparations calculation in abeyance" as Complainant appears to propose. Response at 5. *Compare*, Rule 251 (46 C.F.R. 502.251)("If many shipments or points of origin or destination are involved in a proceeding in

which reparation is sought [...], the Commission will determine in its decision the issues as to violations, injury to complainant, and right to reparation.”) The ALJ has the delegated authority to make and serve the initial or recommended decision, including reparations. Rule 223 (46 CFR 502.223).³

In *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, the FMC did not bifurcate discovery for liability and reparations. Rather, the FMC remanded the matter for further findings to the ALJ on reparations., Docket No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024) (*Order Partially Affirming Initial Decision on Default and remanding for recalculation of reparations*), aff'd sub nom. *MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025)(“MCS v. MSC”). In her decision on remand, the ALJ required MCS to provide additional proof of reparations, as the liability of the respondent had been determined by default.⁴

In *MCS v. MSC*, complainant provided a “detailed table of **replacement** shipments and the documentation of those shipments.” *MCS Indus.*, Docket No. 21-05, 2024 WL 3514613

³ 46 CFR 502.25. Bifurcation has been ordered by Presiding Officers on occasion but only when initial determinations of jurisdictional matters is more efficient and which require completely separate fact discovery. Requiring the Parties to continue to address, whether through fact discovery or experts’ testimony, whether NBG’s allegations of actual injury are duplicative imposes unreasonable costs on the Respondents in this proceeding and others. *See, e.g., Int’l Longshoremen’s Ass’n v. Gateway Terminals, LLC*, Docket No. 22-12, Order on Motion to Bifurcate Proceeding, Scheduling Order, and Protective Order (ALJ Mar. 9, 2023) at 3-4 (bifurcating threshold question of whether respondents were marine terminal operators subject to FMC jurisdiction, and limiting initial discovery to that question, because such discovery “should be far less burdensome to both parties and should not be intertwined with the merits of the alleged Shipping Act violations”).

⁴ The likelihood of double recovery was never raised as an issue in *MCS v. MSC*.

(FMC July 16, 2024) (*Order Affirming Initial Decision on Remand*), slip op. at 32 (emphasis added).

The causal link between Mediterranean’s conduct and MCS’s damages is particularly evident because, when default has been entered and liability determined, as in this case, the factual allegations in the complaint are deemed to be admitted. That means that, although it is still necessary to make an independent determination as to the amount of reparations, it has been established by MCS’s Amended Complaint (verified by Montesano) that Mediterranean’s unlawful failure to meet its obligations to MCS as to the time periods and port pairs at issue caused MCS to need to seek carriage from other sources and to have to pay higher rates for that carriage. See Am. Compl. (Doc. 38) at 7-9, 14-17, 23-24 (Feb. 4, 2022).

Id., slip op. at 33-34(internal citations omitted).

Rather than supporting its theory that overlapping shipments is an appropriate measurement of NBG’s actual injury, nowhere in the default decision in *MCS* did the Commission accept the theory that it could use shipments untethered to the injuries it alleged were caused by the respondent to determine the amount of reparations the FMC could order. This is in direct contradiction to NBG’s argument that the very same “replacement shipments” it has presented in the complaints it has brought against the several respondent carriers are “merely a measurement of its injury.”

3. NBG’s “Measurement” Theory of Reparations Is Flawed and Is an Attempt to Obtain Over-Recovery

NBG’s distinction between the ‘injury’ and the ‘measuring instrument’ is a rhetorical device that obscures the practical reality: NBG is seeking to be paid the same dollar amounts, tied to the same specific shipments, in multiple proceedings simultaneously. Even if the NVO/FF cost data is characterized as a “measurement tool” rather than the injury itself, the “actual injury” it alleges for the reparations NBG seeks are calculated by multiplying the per-container cost from those specific shipments by each carrier’s alleged shortfall. If the same high-cost shipments are used to price every carrier’s shortfall, the aggregate of all awards will exceed NBG’s actual total

cost — which is the definition of over-recovery. Chief Judge Wirth’s observation in Docket No. 23-02 that costs should not ‘vary from one case to the next’ addressed consistency of methodology, not the permissibility of applying the same high-cost shipments to every carrier’s shortfall, regardless of whether those shipments were actually caused by or attributable to that carrier’s Shipping Act violation. This is consistent with the Presiding Officer’s recent order in Docket No. 23-10, *Bed Bath & Beyond, Inc. v. Yang Ming Marine Transport Corp.* (Order of July 16, 2026 at 4)(Doc. 74)(“ If desired, discuss why shipments being included in the 23-02 McCown Appendices, for which reparations have already been granted, should or should not preclude these shipments being utilized in support of reparations for 23-10 shortfall damages.”).

The argument that each respondent carrier’s exposure is capped by the number of containers below MQC it unreasonably failed to carry addresses only one dimension of the double-recovery problem. The cap on volume does not prevent over-recovery if the same high-cost replacement shipments are used to set the per-container rate in every proceeding. If NBG incurred \$1 million in total replacement costs to cover a combined shortfall across all carriers, but the same high cost shipments are used to calculate damages against each respondent carrier separately (to say nothing of those carriers with whom NBG may have settled), the sum of all awards will exceed \$1 million — NBG’s actual total incremental cost — even though each individual award is individually capped by that carrier’s alleged shortfall volume. NBG argues that “[t]he spot-market and NVO/freight-forwarder shipments in NBG’s appendices are not that injury; they are records of what NBG paid, and they serve as the instrument by which the injury is most easily priced.” Response at 5. Even only as a measurement of damages, that proposition is clearly faulty. The structural impossibility of over-recovery exists only if the replacement shipments used to price each carrier’s shortfall are non-overlapping, which is precisely what OOCL contends does *not* appear to be the case here. The volume cap argument therefore assumes away the very problem OOCL is raising.

We agree with NBG (Response at 7) that the one-satisfaction doctrine requires that there be only one recovery for a single injury. But the “one-satisfaction” rule applies not only when defendants are joint tortfeasors but also when a single plaintiff seeks compensation for a single pool of economic harm from multiple defendants whose independent breaches contributed to that same pool of harm, which is NBG’s suggested approach. The appendices presented by NBG in this matter suggest NBG is seeking multiple recovery for *the same alleged injury* (i.e., the very same replacement shipments) from multiple respondents. Whether these injuries are “capped” by the MQC shortfall alleged against each carrier is not relevant to whether NBG is recovering twice (or more) for the costs of the replacement shipments it alleged it incurred.

NBG’s total replacement-shipping costs represent a finite pool of incremental expenditure. If, hypothetically, NBG was forced to spend \$10,000 on an NVO shipment on May 1, 2020, between Shanghai and New York because it tried to book that cargo with OOCL and it also tried to book that cargo with OOCL but neither carried that container, that \$10,000 is NBG’s total actual injury *regardless of how many carriers contributed to it*. Compensating NBG from each carrier separately for the same pool for that shipment would result in NBG receiving multiples of \$10,000 — a recovery that exceeds NBG’s actual injury. The fact that each carrier’s breach is legally independent does not mean the resulting economic injury is multiple and independent; NBG had one pool of replacement costs, and that pool cannot be recovered more than once in the aggregate, which demonstrates that there must be proof of proximate cause with respect to each container to create a nexus to any particular ocean carrier.⁵

⁵ We emphasize again that there is no supporting evidence in the record of any proximate cause between NBG’s alleged replacement shipments and any conduct by OOCL to refuse to carry or deny bookings of NBG’s containers.

4. Risk of Double Recovery is Likely

The absence of a current award does not mean there is no present risk of double recovery; it means only that the double recovery has not yet materialized. Courts and administrative agencies routinely address structural features of a damages methodology at the liability stage precisely to avoid the waste and prejudice of proceeding through full adjudication only to discover that the damages framework is fundamentally flawed. NBG's damages appendices, served on March 30, 2026, already show the cross-listing; the risk is not speculative but is built into NBG's own disclosed and flawed methodology. Waiting until awards are issued in all three proceedings before addressing the overlap would require three separate adjudications to be reopened or adjusted, creating precisely the administrative complexity that early resolution would prevent.

5. Requiring Actual Injury to be Caused by Respondent Will Not Create "Perverse Incentives"

The perverse incentive argument assumes that the only alternative to NBG's current methodology is arbitrary allocation by NBG. That is a false dichotomy. A properly structured damages methodology would apportion replacement costs to the carrier whose breach proximately caused NBG to incur those costs, based on timing, lane, and container type — the same information NBG's own Appendix A already contains, as NBG acknowledges in footnote 1 of its Response. The Commission has the authority to require NBG to demonstrate a causal nexus between each carrier's specific shortfall and the replacement shipments used to price that shortfall. The concern about tribunal speed affecting outcomes is speculative and is equally present under NBG's methodology: if the same high-cost shipments are used in all NBG's proceedings, the carrier whose case is decided last benefits from no reduction even though the economic harm has already been fully compensated by earlier awards, which unduly prejudice

the carrier whose case is decided first. Consistent methodology cannot require using the same replacement shipments in every proceeding; otherwise, the same problems addressed above will continue to recur. The remedy is requiring proof of proximate cause between each carrier's conduct and specific containers that it refused to carry or concerning which it denied bookings that lead to NBG's contracting for replacement containers.

6. Severance of the Proceedings is Irrelevant

The availability of crossclaim practice under 46 C.F.R. § 502.62(b)(4) in the pre-severance consolidated proceeding is irrelevant to whether NBG's current damages methodology creates a risk of double recovery. Crossclaims among respondents would address contribution and indemnification among carriers — not the threshold question of whether NBG's aggregate damages across all proceedings exceed its actual total loss. Moreover, NBG does not explain how a crossclaim by OOCL against Evergreen, Yang Ming, or ONE would have resolved the double-recovery issue, since the problem arises from NBG's damages methodology, not from the allocation of liability among the respondents. The severance argument is therefore a non-sequitur that does not address the merits of OOCL's motion. Further, no such cross claims exist because each carrier's conduct in contracting with NBG and transporting its cargo is separate and distinct.

CONCLUSION

The principle that a complainant may not recover the same economic loss twice is a foundational principle of "actual injury," which must be proven for the Commission to invoke its authority to order the payment of reparations. Using the same replacement shipments to calculate damages against multiple carriers simultaneously creates a structural risk of over-recovery.

As explained in the Motion and this Response, the risks of an award of reparations exceeding NBG's actual injury based on the methodology NBG urges in this and other proceedings are high. It is already evident in the *BBBY* cases. An *in camera* examination of NBG's duplicative allegations of actual injury and the dismissal of such allegations for which NBG has sought the award of reparations from other respondents in pending FMC proceedings is the most efficient and prudent path forward. OOCL respectfully requests such relief and a hearing to discuss this matter before the tribunal.

Dated: September 4, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the date below, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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